

25NNCV03396 25NNCV03396

County: los-angeles
Division: Civil Law and Motion
Department: 3
Hearing date: 2026-07-22
Motion: DEFENDANT JIE PHILLIPS' DEMURRER TO PLAINTIFF CHONG LIU'S COMPLAINT
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Case Number: 25NNCV03396 Hearing Date: July 22, 2026 Dept: 3

SUPERIOR COURT OF THE STATE OF
CALIFORNIA

FOR THE COUNTY OF LOS ANGELES - NORTHEAST
DISTRICT

CHONG LIU,

Plaintiff(s),

vs.

JIE
PHILLIPS, et al.,

Defendant(s).

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CASE NO.: 25NNCV03396

[TENTATIVE]

ORDER RE: DEFENDANT JIE PHILLIPS' DEMURRER TO PLAINTIFF CHONG LIU'S
COMPLAINT

Dept.

3

8:30

a.m.

July 22,

2026

I. INTRODUCTION

Defendant Jie

Phillips ("Defendant") demurs to the Third and Fourth Causes of Action asserted in plaintiff Chong Liu's operative First Amended Complaint ("FAC") filed on January 2, 2026. The Third Cause of Action is for fraud and the Fourth Cause of Action is for "fraudulent and unauthorized use of contractor's license and permit system."

II. LEGAL

STANDARD

A demurrer may be brought if

insufficient facts are stated to support the cause of action asserted. (Code Civ. Proc., § 430.10, subd. (e).) A demurrer tests the legal sufficiency of the pleadings and will be sustained only where the pleading is defective on its face. (*City of Atascadero v. Merrill Lynch, Pierce, Fenner & Smith, Inc.* (1998) 68 Cal.App.4th 445, 459.)

III. DISCUSSION

Plaintiff's

Third and Fourth Causes of Action are both rooted in fraud. The elements of fraud are misrepresentation, knowledge of falsity, intent to induce reliance on the misrepresentation, justifiable reliance on the misrepresentation, and resulting damages. (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638 (*Lazar*).)

A.

Third

Cause of Action

Plaintiff alleges that on March 22, 2025, Defendant informed him that he was not permitted to enter the jobsite in Lancaster, California. (FAC, ¶ C(11).) Plaintiff alleges that despite excluding him from the job site, Defendant demanded he continue to perform under the existing contract for purposes of passing the city's inspection on March 27, 2025, of the drywall, ceiling tiles, T-bar ceiling components, HVAC, and related work. (FAC, ¶ C(12).) Defendant allegedly promised that if the inspection passed, she would pay him the money owed on the construction contract. (*Id.*, ¶ C(14).) Plaintiff alleges he arranged and attended the inspection in reliance on Defendant's promise of payment, but was damaged when Defendant did not pay Plaintiff. (*Id.*, ¶¶ C(14-15).

Defendant argues that Plaintiff cannot

state a fraud claim because Plaintiff was already contractually obligated to attend the inspection and cannot prove that any damages he sustained were caused by his attendance. (*Demurrer*, pp. 6-8.) In opposition, Plaintiff argues that his damages extend beyond the payments owed under the contract and include "contractor-of-record exposure", "permit and inspection-related risks", "potential attribution of later construction work or corrective work to Plaintiff", and "CSLB complaints and regulatory exposure." (*Opp.*, p. 6.) These additional damages are speculative and Plaintiff has not alleged specific facts showing that any of those alleged risks resulted in any actual damages. Plaintiff's

damages arising from the contract would exist even in the absence of Defendant's fraudulent inducement and Plaintiff cannot, as a matter of law, assert a fraud claim based on this theory. (Rutherford Holdings, LLC v. Plaza Del Rey (2014) 223 Cal.App.4th 221, 235; Goodman v. Kennedy (1976) 18 Cal.3d 335, 349 [burden on plaintiff to show manner of amendment].) Accordingly, the demurrer to the Third Cause of Action is SUSTAINED without leave to amend.

B.

Fourth

Cause of Action

As part of his Fourth Cause of Action for fraudulent and unauthorized use of contractor's license and permit system, Plaintiff alleges that Defendant "exploit[ed] [his] contractor license, permit status, and permit chain to advance construction and inspection." (FAC, ¶ A(3).) Plaintiff alleges he was placed into "factual and legal exposure for permit responsibility, regulatory compliance, and governmental oversight for work [he] did not authorize, did not control, and could not supervise." (FAC, ¶ A(4).)

Defendant demurs to this cause of action as legally incognizable. The Court agrees. First, any fraudulent misrepresentation by Defendant regarding the permits was not made to Plaintiff, therefore he did not rely on any misrepresentation and could not have sustained damages based on those misrepresentations. Also, Plaintiff does not allege that he actually sustained damages from Defendant's conduct.

In opposition, Plaintiff concedes that the label of the claim might need to be amended, but insists that even if the demurrer is sustained, the Court should keep the factual allegations underlying the Fourth Cause of Action so that it can support his other claims. However, Plaintiff does not show how these factual allegations are relevant to pleading the elements of his other causes of action. To the extent Plaintiff argues that he needs to incorporate the allegations into Plaintiff's Fifth Cause of Action against JLF Construction LLC for tortious interference, that claim is already four pages long. Plaintiff also requests leave to amend but provides no facts or legal authority showing how amendment is possible. (Goodman, *supra*, 18 Cal.3d at p. 349.)

Accordingly, the demurrer to the Fourth Cause of Action is SUSTAINED without leave to amend.

IV. CONCLUSION

Defendant's demurrer to the Third and Fourth Causes of Action is SUSTAINED without leave to amend. If Plaintiff wishes to add to his Fifth Cause of Action, he may seek leave to file a Second Amended Complaint or stipulate with the other parties for leave to do so.

Moving party to give notice.

Dated
this 22nd
day of July
2026

William A. Crowfoot

Judge of the Superior Court

Parties who intend to submit on this tentative must send an email to the Court at indicating intention to submit on the tentative as directed by the instructions provided on the court website at www.lacourt.org. Please be advised that if you submit on the tentative and elect not to appear at the hearing, the opposing party may nevertheless appear at the hearing and argue the matter. Unless you receive a submission from all other parties in the matter, you should assume that others might appear at the hearing to argue. If the Court does not receive emails from the parties indicating submission on this tentative ruling and there are no appearances at the hearing, the Court may, at its discretion, adopt the tentative as the final order or place the motion off calendar.